

EMBC pitch deck

PITCH — EMBC — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order; both benches end FLAT, and the only thing in dispute is whether this is a dead file (red) or a dated option that reopens around the 25 Nov print (blue).

What we believe

Embecta makes pen needles and syringes for insulin injection. It was spun out of BD in 2022 with a large amount of debt attached, and roughly two-thirds of its revenue comes from that one product line (\$517.6M of pen needles = 68.6% of nine-month revenue).

The stock fell about 58% in a single day in May after management cut this year's earnings guidance from \$2.80–3.00 per share to \$1.80–1.90. It bottomed at \$2.76 and has since roughly doubled, to \$5.25–5.47.

What we think is true, stated as plainly as we can:

- 1. The company's own August guidance, read carefully, implies the September quarter is less bad than the last three.** Nine months of organic revenue (stripping out currency and the Owen Mumford acquisition) ran about –11% year over year, and the third quarter alone about –13.6%. The full-year organic guidance of –10.2% to –8.8% can only be true if the September quarter lands somewhere between –7.5% and –1.8%. That is an improvement of roughly 3.5 to 9 percentage points off the recent run rate, and it is management's own arithmetic, not ours.
- 2. The credit situation is uncomfortable but not urgent.** Debt is about \$1.47B against roughly \$218M of cash. Management reports 2.8x on the ratio the loan agreement actually tests (first-lien) against a 4.75x limit that runs through mid-2027. Cash from operations over nine months was positive \$90.1M on \$2.2M of capital spending. There is no going-concern language; the 10-Q says the company has “sufficient financial flexibility... for the foreseeable future.”
- 3. So this is a dated, cheap option on one number** — the September-quarter organic growth rate — reported alongside the first fiscal-2027 guidance, both on the same day.

That is the entire bull case. It is narrow on purpose.

What the market believes

The market believes this is a shrinking, heavily indebted, single-product company and prices it accordingly.

- Analysts' consensus is \$1.84 of adjusted earnings this year (dead center of guidance) and **\$1.76 next year — a further 4% decline**. Nobody on the street models a recovery.
- The average analyst price target is **\$4.00, about 24% below the current \$5.25**. The stock is trading above where the people who cover it think it belongs.
- Lenders acted on the same view: the August amendment **cut the revolving credit line from \$500M to \$310M**, a 38% reduction. Undrawn borrowing capacity went from \$370M to \$180M. Lenders do not shrink a facility by 38% when they are comfortable.
- There is a live securities-fraud lawsuit over the May guidance cut, with multiple plaintiff firms involved.

So the market's view is not "this company is dying." It is "this is a declining business where the equity is a thin slice on top of a large pile of debt, and it isn't worth \$5.25."

Why we might have edge

Three specific things, honestly ranked.

1. Almost nobody has done the September-quarter arithmetic on the organic line. The headline organic guidance is -10.2% to -8.8%, which reads terrible. Our own red bench read it that way and used it to kill the idea. But you cannot compare a full-year rate to a single quarter — you have to back the quarter out. When you do, the same guidance implies a materially better September quarter. This is a specific, checkable, falsifiable number that resolves on a known date. That is a real, if small, informational edge.

2. A second checkable number nobody extracted. The guidance table raised the acquisition contribution from 2.7% to 2.9–3.4% of revenue, which implies Owen Mumford contributes **\$17.5–22.9M in the September quarter**, up from \$13.8M in the June quarter. That is an independent way to test whether the guide is being held together honestly.

3. The composition of the decline is being misread. The nine-month bridge shows volume down \$60.0M and price down \$27.4M — which sounds like customers leaving. But quarter by quarter, volume damage is steady at roughly \$20M per quarter while *price* erosion accelerated from about \$3.7M per quarter in the first half to \$20.1M in the third quarter. Price cuts lap; that is, a year after a price step-down, the comparison resets and the drag disappears. Steady volume loss plus a lapping price cut is a very different picture from an accelerating customer exodus.

Why it might be priced in

Symmetrically, here is why we probably do not have edge:

- **The guidance cut is the single most-covered fact about this company.** A -36% cut that halved the stock and drew nine law firms is not an under-followed situation. Our red bench originally tagged this "novel"; our blue bench correctly re-tagged it as consensus. It is consensus.

- **We agree with the street on the numbers, and the street's price target is 24% below the tape.** If our earnings estimate matches consensus and consensus says \$4.00, our disagreement is purely about what multiple to pay — which is the weakest kind of disagreement.
- **The stock has already run 90–98% off its low.** Whatever dislocation existed at \$2.76 has been substantially harvested by someone else.
- **The September-quarter improvement, if it happens, may not be worth much.** Even on the improved revenue, the guidance implies September-quarter adjusted earnings of **\$0.27–0.37 versus \$0.50 a year ago** — the worst quarter since the spin. Revenue up and earnings down means the incremental dollar of revenue is low-margin. Being right about the revenue line and wrong about the earnings line is a losing trade.
- **The equity is a thin slice.** Roughly \$297M of market value sits on top of \$1.47B of debt — about 19% of total enterprise value. Small changes in the debt's value swamp everything else.
- **The entire debt stack is secured.** There are no unsecured bonds sitting between the equity and the loans. In a bad outcome, equity recovery is close to zero rather than partial.

What could go wrong

(pre-mortem, v1.7 — three failure narratives, then the reflexive leg)

Failure 1 — the price step-downs don't lap; they repeat. (Monitorable.) Our bull case leans on price erosion being a one-time reset that stops hurting after a year. If US contract renewals keep resetting lower — because a large distributor or group purchasing organization renegotiates annually and the competitive set has permanently changed — then the “lapping” never happens and the earnings base keeps falling. September-quarter earnings of \$0.27–0.37 becomes the new run rate, roughly \$1.20–1.50 annualized, and the multiple compresses on top of it. *Tripwire:* the price/volume revenue bridge in each quarterly 8-K exhibit. If the price line stays at or worse than –\$20M per quarter in the September and December quarters, this narrative is winning.

Failure 2 — the credit box tightens before the operating story turns. (Monitorable.) Our blue bench found that the binding constraint is probably not the leverage test everyone looks at but the **interest-coverage test**. Trailing earnings before interest, taxes, depreciation and amortization are roughly \$337M against about \$95M of annual cash interest — about 3.55x coverage. On the exit run rate implied by guidance (~\$250–280M), coverage falls to roughly 3.2x, against a required minimum that **steps up from 2.50x to 3.00x on 1 January 2028**. That is not a 2026 problem, but the market prices it before it arrives. If the company has to amend the agreement again, it pays with fees and a higher interest rate, which comes straight out of the equity slice. *Tripwire:* any new 8-K disclosing a credit-agreement amendment; revolver borrowings rising above \$200M; the reported interest-coverage ratio in each 10-Q.

Failure 3 — demand substitutes away underneath us, and we find out only after it has happened. (NO MONITORABLE TRIPWIRE.) The number of pen needles sold is decided by people whose books we cannot see: prescribers changing therapy mix, payers changing formularies, purchasing groups changing suppliers, and the broader shift in diabetes treatment toward drugs that

reduce injection frequency. None of those decisions generates a filing, a form, or a dated event we could put on a calendar. They appear only as a completed revenue decline in a bridge line, one or two quarters after the decision was made. We cannot build a sensor for this because the information does not exist on any plane we can observe. *Unknown-unknown class: off-filing demand substitution* — the causal decision lives in a third party's private process, is disclosed only in aggregate, and is disclosed only in arrears. This is the same class as channel-partner decisions and formulary changes generally, and we should treat any thesis that depends on stable unit volumes in a prescription-adjacent product as structurally blind here. *Partial mitigation, and it is weak*: the plant-temperature sensor on the Holdrege, Nebraska facility shows a falling trend ($-0.36\text{ }^{\circ}\text{C}/\text{year}$), which is consistent with declining physical output. That is a lagging physical proxy, not a tripwire, and both benches agreed it corroborates less than it first appeared.

The reflexive and structural leg.

- *Our own footprint is not the risk.* A 0.5% position in a company with roughly \$297M of market value is a few thousand shares — negligible against any plausible daily volume for a NASDAQ-listed company of this size. **We did not actually measure average daily volume in this pack; that is an unverified assumption, flagged below.**
- *We would be bidding into flow we ourselves predict.* This stock is down 64% from its 52-week high in a calendar year. It is a textbook tax-loss selling candidate for November and December. Our own standing rule is not to bid into flow we are forecasting. The uncomfortable version of this: a \$4.25 limit gets filled in late November *precisely because* the tax-loss wave has started, and we own the first third of a December washout.
- *Our house rules cap this position below the size where it can matter.* Because there is a live securities-fraud suit, our rule caps what we will pay at 85% of estimated fair value; combined with the 0.5% size cap, the most this can contribute is a rounding error on the book. The honest framing is that this position's value to us is the diligence — the two reusable detection patterns the benches produced — not the money.
- *The entry condition as written cannot be filled.* Our blue bench set entry at “a tape of \$4.25 or below **and** an organic growth read better than -9% .” But the organic read does not exist until the 25 November print. So no price alone can trigger entry before that date, and the band is unfillable as written. This is a real defect in the court's output, corrected in the entry section below.

If this position loses money, the most likely reason will be that we were right about the September revenue line and wrong about everything downstream of it — the improvement showed up in revenue, the earnings did not follow, and a thin equity slice on a fully secured \$1.47B debt stack re-rated down anyway.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Guidance implies the September quarter improves	Recomputed the quarter out of the full-year organic guidance in the 8-K exhibit, using disclosed currency and acquisition dollars	Q4 organic -7.5% to -1.8% vs a nine-month rate of -11.0%	Yes — this is the thesis
Original brief's claim that revenue "inflects to -1.5% to +6.1%"	Compared to the organic line printed directly beneath it in the same table	The reported-line inflection is mostly the acquisition plus a weak dollar; the brief used the wrong line	No — our own brief erred
Red bench's counter: "organic guidance is accelerating downward"	Read the same table's <i>Previous</i> column	Previous was -10.2% to -8.3%; current is -10.2% to -8.8% — a 50bp trim of the top end, not an acceleration	No — our red bench erred
Red bench's killer: the organic line refutes the September inflection	Backed the quarter out of the organic line itself	Red compared a full-year rate to a single-quarter reconstruction — the same basis mismatch it accused the brief of	No — our red bench erred, on its decisive finding
September-quarter earnings of \$0.27-0.37 vs \$0.50	Guidance \$1.80-1.90 minus nine-month actual \$1.53	Confirmed. But nine-month earnings were also -38% year over year, so this is in line with trend, not a new leg down	Yes (fact) / red overstated severity
"Raised margin guidance"	Compared to the November initial guide	It is a raise off a -36% cut. Guidance went \$2.80-3.00 → \$1.80-1.90; margin 38.5% → 31.5%	Yes — red is right, brief was misleading
Leverage is near a covenant breach	Red modelled 4.5-5.1x	Red used total debt where the covenant tests first-lien, and an annualized run rate where the covenant uses trailing twelve months. Management reports 2.8x against a 4.75x limit	No — our red bench erred
Covenant thresholds (4.75x through Jun-2027, stepping to 3.75x Apr-2028; interest coverage 2.50x → 3.00x Jan-2028)	Blue bench used a search result, not the actual exhibit	UNVERIFIED BASIS. Exhibit 10.1 to the 6 Aug 2026 8-K was never read directly	No — must be closed before any entry
Revolver cut \$500M → \$310M	10-Q subsequent-events note, read directly	Confirmed verbatim. Undrawn capacity \$370M → \$180M. The brief cited only the maturity extension and omitted the cut	Yes — brief was selective
Volume vs price decline	Nine-month bridge, then decomposed by quarter	Nine months: volume -\$60.0M, price -\$27.4M. But quarterly: volume steady ~\$20M/qtr, price accelerating \$3.7M → \$20.1M	Yes (fact); both benches' framings incomplete
Product recall / regulatory quality history	Not checked	No openFDA query ran on either bench	No — open gap, two benches deep
Cash position	Two figures appear in our own work	\$218.2M used in the net-debt calculation, \$214.7M cited elsewhere. Unreconciled ~\$3.5M difference	Partially — minor, but it is our own inconsistency
Share count	10-Q cover page	56,659,599 shares at 31 Jul 2026. Our evidence pack's 58.5M is a stale	Corrected

Claim	How checked	Found	Confirmed?
		2025 figure	
Current price	Evidence pack vs bench pulls	Pack says \$5.47; both benches worked from \$5.25. The benches ran on a different snapshot than the pack we are quoting. All bands below are stated against \$5.25–5.47 as a range, not a point	Inconsistent — flagged, not resolved
Average daily trading volume	Not checked	Never pulled	No — needed before any order
Foreign vs domestic cash split	10-Q	Not disclosed. Company holds ~\$218M cash while drawing \$129.9M on a revolver, which suggests some cash is not freely available	No — disclosure gap

PROPOSED ENTRY BANDS

No entry now. At \$5.25–5.47 the stock is above the average analyst target, has already doubled off its low, and the one number that would settle the argument is not observable for another ~58 trading days.

Because the deciding variable (September-quarter organic growth) does not exist until the print, there is **no price alone** that authorizes a buy beforehand. Correcting the court’s unfillable paired condition, the file reopens through two separate doors:

Door A — pre-print, price only (watch, do not buy). - **\$4.25 or below** before 25 Nov 2026: this is a *re-court trigger*, not an entry. It reopens the file for a fresh look three weeks before the print. Buying here means buying blind into a quarter we have argued is the whole thesis, in the middle of the tax-loss selling season we ourselves forecast. Do not. - **\$2.76 or below** (the 52-week low): treat a break of the low as new information, not as a better price. Re-court immediately, bear-first.

Door B — post-print, 25 Nov 2026 (the only buy door). All three must clear: 1. September-quarter organic constant-currency revenue growth **better than –9%** (guidance implies –7.5% to –1.8%; a print worse than –9% means the guide broke and the thesis is dead); 2. Initial fiscal-2027 adjusted earnings guidance **at or above \$1.76** (the street’s number) with organic growth guided better than –5%; 3. Entry limit **\$4.25 or better**. If the print is good and the stock gaps above \$4.25, **do not chase** — the live fraud suit caps what we will pay at 85% of estimated fair value, and paying up violates that cap.

Sizing if Door B clears: starter **0.25% of book**, single tranche. Second 0.25% only after the 10-K is filed and read, taking the position to a **0.5% hard maximum**. This never becomes a larger position; the equity is a thin slice on a fully secured debt stack and the downside is close to total, not proportional.

Automatic no-entry / close-the-file conditions: - September-quarter organic growth **worse than –9%**; - Fiscal-2027 guidance below **\$1.50**; - Any new credit-agreement amendment, or revolver borrowings above **\$200M**; - The stock trading above **\$6.75** before the print — the option premium is gone and there is nothing left to buy.

Exit discipline if we ever own it: reported first-lien leverage above 4.0x, interest coverage below 3.25x, or a second credit amendment — sell, in full, without re-litigating.

Catalyst dates: - ~**4 Nov 2026** — expected earnings-date press release; the scheduled re-court. - **25 Nov 2026** — **UNCONFIRMED**. Derived from a data vendor and corroborated only in shape: the fiscal year ends 30 September and last year's fourth quarter printed on 25 Nov 2025. No company release names this date. It is a double event — the September quarter *and* the first fiscal-2027 guidance. - ~**late Nov / Dec 2026** — 10-K filing: the document that would finally settle the covenant thresholds, the foreign cash split, and the full-year volume/price bridge. - **30 Jun 2027** — end of the 4.75x leverage limit period (unverified basis). - **1 Jan 2028** — interest-coverage requirement steps up 2.50x → 3.00x (unverified basis; this is the binding constraint). - **1 Apr 2028** — leverage limit steps down 4.75x → 3.75x (unverified basis).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.7615 (deck-provisional: 52-week low break = new information; immediate bear-first re-court)
- filing watch: 8-K until 2027-03-01 (deck-provisional: FY26 Q4 results exhibit carries the September-quarter organic constant-currency rate - the single deci)
- dated pack EMBC|2026-11-04: EMBC: Expected earnings-date press release; scheduled pre-print re-court (date confirmed=False)
- dated pack EMBC|2026-11-25: EMBC: FY26 Q4 results plus first FY27 guidance - double event, vendor-derived date, no company release names it (date confirmed=False)
- dated pack EMBC|2027-06-30: EMBC: End of the 4.75x first-lien leverage limit period (date confirmed=False)
- dated pack EMBC|2028-01-01: EMBC: Interest-coverage requirement steps up 2.50x to 3.00x - the binding covenant (date confirmed=False)
- dated pack EMBC|2028-04-01: EMBC: First-lien leverage limit steps down 4.75x to 3.75x (date confirmed=False)

What remains unverified

1. **The covenant thresholds themselves.** Exhibit 10.1 to the 6 August 2026 8-K was never read directly. Every leverage and coverage number in this deck rests on a secondary source. This is the single item most likely to change the conclusion in either direction, and it is a one-hour job.
2. **The earnings date.** 25 November 2026 is vendor-derived and unconfirmed. The entire structure of this pitch is “wait for a date” — and we have not confirmed the date.
3. **Product recall and regulatory-enforcement history.** Never queried, across two benches.

4. **Foreign vs domestic cash.** Undisclosed. We do not know how much of the \$218M is actually available to service US debt.
5. **Average daily trading volume and the shape of the order book.** Never pulled.
6. **Our own price snapshot.** The evidence pack says \$5.47; both benches worked from \$5.25. We have not reconciled which is live.
7. **The margin profile of the Owen Mumford acquisition.** If its revenue carries corporate-average margins, the earnings picture is better than we model; if it is materially dilutive, the revenue improvement is worth much less. Not disclosed.
8. **The securities-fraud litigation.** We know it exists and that it constrains what we will pay. We have not read a complaint, sized a potential liability, or established any dated schedule for it.
9. **Cash figure inconsistency** of ~\$3.5M within our own work (\$218.2M vs \$214.7M). Immaterial to the conclusion; noted because it is ours.

Primary sources, quoted over any transcript or vendor summary where they conflict: [10-Q, quarter ended 30 Jun 2026](#) · [Q3 FY26 results, 8-K Exhibit 99.1](#) · [FY25 Q4 results, 8-K Exhibit 99.1](#)

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